



UJ CIMA FINANCE LEADERSHIP PROGRAM (FLP)

SCS Master Class – 2 March 2026

Due Date (Upload on Moodle):

Sunday, 1 March 2026 12:00 PM

Vector Ltd

Vector is a quoted company that creates solutions for handling objects, primarily in warehouses and factories. Vector assists its clients by developing and installing the systems required to store and retrieve inventory.

For example, Vector might support an online retailer by supplying a system that can pick goods from storage in response to customer orders.

You are a senior manager in Vector's finance function. You report directly to the Board and advise on special projects and strategic matters.

Vector is based in Tessland, a developed country that has an active and well-regulated stock exchange. Tessland's currency is the T\$. Tessland requires companies to prepare their financial statements in accordance with International Financial Reporting Standards (IFRS).

You have received the following email:

From: James Clark, Chief Finance Officer - Vector Ltd

To: Senior Finance Manager

Subject: Possible Acquisition

Hi!

I have attached a news article that has interested the Board. As you know, Vector has always done the design and assembly process of forklifts and most of the individual parts of the forklift are manufactured by other companies. Our bargaining power to influence them to customize the product the way we want is currently limited.

However, the Board is considering acquiring Boxwix with a view to developing and manufacturing a new range of enhanced forklifts that can operate much faster and more effectively. That would enable us to stimulate demand for our forklift trucks in warehouses.

Boxwix is based in Tessland and is quoted on the Tessland Stock Exchange. It has its focus on many automobiles and other machinery but its main revenue stream (around 60%) is from manufacturing parts for folk lifts.

I need your help with the following:

- First, discuss the advantages and disadvantages of Vector acquiring Boxwix.

(sub-task (a) = 50%)

- Second, explain the significance of the movement in Boxwix's share price in response to rumors about an acquisition by Vector who has recently started manufacturing non-autonomous products.

(sub-task(b) = 50%)

Regards,

James.

Tessland Daily News

Boxwix Group Makes a Very Bad First Move

Boxwix Group recently entered the market of non-autonomous robot manufacturing and planned on launching a new folk lift promising to boost efficiency. The product specification and design indeed suggest better performance, but they are struggling to have sufficient supply. Boxwix managers have informed Vector that they have predicted the demand for folk lift to drop in the future so they are not keeping a buffer inventory of the needed metals and other parts to complete their order in time.

Boxwix is the most popular manufacturer of specific parts for forklifts including its lifter, steering system, and chassis-like platform, but demand for these devices has been declining in recent years because manufacturers have failed to invest enough in the development of new efficiency improvements to boost up productivity.

Many autonomous products such as carousels and Mobile robots offer higher flexibility and are more cost-effective when compared with our folk lifts made using Boxwix's latest range of parts and components. This is unfortunate because many warehouse houses are planned and employees are hired with the objective of using folk lifts.

Boxwix is losing the trust of some clients since they have failed to meet the delivery on time.

Section 2

A week later, you receive the following email:

From: Jame Clark, Chief Finance Officer - Vector Ltd

To: Senior Finance Manager

Subject: Acquisition of Bixwix

Hi

I have attached an extract from the minutes of a recent Board meeting. I need your advice on two matters arising from these minutes:

- First, discuss the key risks (other than currency risks) that may arise from Vector having a manufacturing facility for folk lift parts and components in Eastland and recommend suitable responses.

(sub-task (a) = 60%)

- Second, discuss the exposure to economic currency risk that may arise from Vector operating this facility in Eastland.

(sub-task (b) = 40%)

Thanks,

James.

Board minutes extract: Issues arising from the acquisition of Boxwix

Ewa Durska, Chief Executive Officer, reminded the Board that no decision has yet been made with respect to the acquisition of Boxwix, the manufacturer of forklift parts.

Eamonn McCauley, Chief Operating Officer, commented that Boxwix's Head Office is located in Media City in Tessland but that all manufacturing is at the company's factory in Eastland, where labor costs are low. The manufacturing process is primarily the assembly of required material parts to form the component. Labor accounts for 60% of the cost of making all purchased parts of a folk lift. Electronic components, comprising 30% of total manufacturing cost, are imported to Eastland.

Vector already has a small assembly center in Eastland purchased a few months ago, that has machinery to do the assembly process of any autonomous or non-autonomous product. Vector also has a huge assembly base for the development of folk lifts in Southland, where labor costs are high.

James Clark, Chief Finance Officer, pointed out that Eastland's currency, the E\$, is very volatile.